

QUESTION 1

Demand is defined as the quantity of a good or service that consumers are:

Answer is Correct

Score: 1 / 1

Options

- ☐ A. Only willing to buy, regardless of ability to pay
- ☒ B. Willing and able to buy at different prices during a given period of time
- ☐ C. Forced to buy due to necessity
- ☐ D. Able to buy based on government regulations

Correct

QUESTION 2

According to the Law of Demand, when the price of a good increases:

Answer is Correct

Score: 1 / 1

Options

- ☐ A. Quantity demanded increases
- ☐ B. Quantity demanded remains unchanged
- ☒ C. Quantity demanded decreases
- ☐ D. Supply of the good automatically increases

Correct

QUESTION 3

The Law of Supply states that, *ceteris paribus*, when the price of a good rises:

Answer is Correct

Score: 1 / 1

Options

- ☐ A. The quantity supplied decreases
- ☐ B. The quantity supplied remains constant
- ☒ C. The quantity supplied also rises
- ☐ D. The demand for the good also rises

Correct

QUESTION 4

A demand schedule, when plotted on a graph, forms a:

Answer is Correct

Score: 1 / 1

Options

- ☐ A. Upward sloping curve
- ☐ B. Horizontal line
- ☒ C. Downward sloping curve
- ☐ D. Vertical line

Correct

QUESTION 5

Market demand is defined as:

Answer is Correct

Score: 1 / 1

Options

- ☐ A. The demand of the largest buyer in the market
- ☐ B. The sum total of all individual demands for a product
- ☐ C. The demand at the lowest possible price
- ☐ D. The government-regulated quantity of goods sold

Correct

QUESTION 6

Equilibrium price is the price at which:

Answer is Correct

Score: 1 / 1

Options

- ☐ A. Only suppliers are satisfied
- ☐ B. The government sets the maximum price
- ☒ C. Quantity demanded equals quantity supplied
- ☐ D. Demand exceeds supply significantly

Correct

QUESTION 7

Elasticity of demand measures:

Answer is Correct

Score: 1 / 1

Options

- ☐ A. The total revenue of a firm
- ☒ B. The degree of responsiveness of demand to a change in price
- ☐ C. The number of substitutes in a market
- ☐ D. The profitability of a product

Correct

QUESTION 8

If the price elasticity of demand (PED) ratio is greater than 1, the demand is:

Answer is Correct

Score: 1 / 1

Options

- ☐ A. Inelastic
- ☐ B. Unit elastic
- ☒ C. Elastic
- ☐ D. Perfectly inelastic

Correct

QUESTION 9

Which of the following goods would most likely have inelastic demand?

Answer is Correct

Score: 1 / 1

Options

- ☐ A. Luxury handbags
- ☒ B. Life-saving insulin for diabetic patients
- ☐ C. Restaurant meals
- ☐ D. Branded clothing

Correct

QUESTION 10

Price elasticity of supply measures:

Answer is Correct

Score: 1 / 1

Options

- ☐ A. How consumer preferences change over time
- ☒ B. How much quantity supplied changes in response to a change in price
- ☐ C. The impact of government taxation on profits
- ☐ D. The relationship between income and spending

Correct

QUESTION 11

Netflix raises subscription prices and many subscribers cancel. This is an example of:

Answer is Correct

Score: 2 / 2

Options

- ☐ A. Inelastic demand, because many people cancelled
- ☒ B. Elastic demand, because the quantity demanded responded substantially to the price change
- ☐ C. Unit elastic demand, because the change in demand was proportional
- ☐ D. Perfectly inelastic demand, because Netflix is a necessity

Correct

QUESTION 12

A pharmaceutical company holds the patent on a life-saving drug with no known alternatives. Which type of demand elasticity applies, and what is the revenue implication of increasing the drug's price?

Answer is Correct

Score: 2 / 2

Options

- ☐ A. Highly elastic — any price increase would cause revenue to collapse
- ☒ B. Perfectly inelastic — demand remains constant regardless of price, so increasing price directly increases total revenue
- ☐ C. Unit elastic — revenue stays the same regardless of price change
- ☐ D. Inelastic but not perfectly — a small price increase leads to a significant fall in demand

Correct

QUESTION 13

Which of the following correctly describes the relationship between demand elasticity and total revenue when price increases?

Answer is Correct

Score: 2 / 2

Options

- ☐ A. Elastic demand: revenue increases; Inelastic demand: revenue falls

Correct

- ☐ B. Elastic demand: revenue falls; Inelastic demand: revenue increases

- ☐ C. Both elastic and inelastic goods will see revenue fall

- ☐ D. Revenue is unaffected by elasticity

QUESTION 14

Consider demand elasticity in the context of total revenue. A company sells 1,000 units at ₹100 each. It raises the price to ₹120 (a 20% increase), and sales volume drops to 700 units (a 30% drop). What is the PED, and what happens to total revenue?

Answer is Correct

Score: 2 / 2

Options

- ☐ A. PED = 0.67 (inelastic); Revenue increases from ₹1,00,000 to ₹1,20,000

Correct

- ☐ B. PED = 1.5 (elastic); Revenue falls from ₹1,00,000 to ₹84,000

- ☐ C. PED = 1.0 (unit elastic); Revenue remains unchanged at ₹1,00,000

- ☐ D. PED = 1.5 (elastic); Revenue increases because price went up

QUESTION 15

The OPEC oil crisis of the 1970s demonstrated that in the SHORT run, both supply and demand for oil were inelastic. Which of the following best explains the long-run outcome and the economic principles at play? [Multiple correct answers possible]

Answer is Correct

Score: 2 / 2

Options

☐

A. Over time, non-OPEC producers expanded extraction capacity, increasing supply elasticity

Correct

☐

B. Consumers gradually shifted toward fuel-efficient vehicles, increasing demand elasticity over time

Correct

☐

C. In the long run, supply and demand curves become more elastic than in the short run

Correct

☐

D. OPEC's strategy led to permanently higher oil prices with no long-term correction